

HEMANT MISHRA

SWIFT SUCCESS Swiggy Instamart CEO Amitesh Jha at the company's corporate office in Bengaluru

> "In the past 18 months, Swiggy Instamart has expanded its offerings by 4X, beyond just groceries to include categories like electronics, makeup, toys, home and kitchen items and festive products"
>
> **AMITESH JHA**
> *CEO, Swiggy Instamart*

warehousing themselves. In contrast, traditional offline retail involves a 25 per cent margin that is split between wholesalers, distributors and retailers, leaving only 3-4 per cent for kirana stores. Additionally, q-commerce firms generate revenue from delivery fees, platform fees, membership plans and advertising income. FMCG brands, for instance, have advertised heavily on these platforms, contributing 3-4 per cent of the gross order value as ad revenue over the past two years.

In FY24, Blinkit reported revenues of Rs 2,302 crore, more than double the Rs 1,064 crore it earned in FY23. Zepto's sales grew more than 14 times to Rs 2,024 crore in FY23, from Rs 141 crore in FY22. "To ensure profitability, each dark store must handle up to 2,000 orders a day with an average value of Rs 500," says Meena.

THE BATTLE INTENSIFIES

As q-commerce companies fast become the default marketplace for many consumers, they are capturing a share of product sales from Flipkart and Amazon. "We're going to evolve into a horizontal commerce player [a one-stop digital shop for anything and everything, reaching a wider audience], like e-commerce in 10 minutes," says Palicha. He does admit, though, that despite strong overlaps in day-to-day categories like electronics and household essentials, larger categories, such as fashion, smartphones and high-consideration electronics, will still require the depth and variety offered by apps like Myntra, Flipkart and Amazon, which will be difficult to replicate in q-commerce.

Meanwhile, seeing the success of q-commerce companies and the growing demand, the major players themselves are entering the space, intensifying the competition. Tata Group-owned BigBasket, thus, is shifting focus to its q-commerce vertical, BB Now, which already commands a 10-15 per cent market share. Their e-commerce entity Neu is set to foray into this segment with Neu Flash. Walmart-backed Flipkart is scaling up Minutes rapidly and Reliance Retail's e-marketplace JioMart has begun 30-minute delivery in several cities leveraging its network of 19,000 stores. Amazon, though a bit late to the game, has also announced its entry. Its q-commerce arm, codenamed Tez, is expected this month or early next year.

To retain market share, vertical players, too, are working to reduce their delivery times. Beauty products retailer Nykaa, for example, claims to deliver 70 per cent of its orders within the same day or the next. Myntra recently launched M-Now, which delivers fashion and beauty products within 30 minutes in Bengaluru, with plans to expand the service to Mumbai, Delhi and Pune. "We will see the converging of q-commerce and e-commerce as every player works to reduce the delivery time," says Arvind Singhal, founder & chairman, Technopak Advisors. In due course, he feels, the term 'quick commerce' might become redundant, since a 10-15-minute delivery will no longer be a differentiator because everybody will be doing it. This is where, he says, e-tailers like Amazon, Flipkart and BigBasket may have an advantage as they have already built strong supply chains, along with a strong portfolio of brands.

As competition intensifies with multiple players vying for household spending, q-commerce companies face the challenge of burning cash to expand into new geographies and secure a first-mover advantage in acquiring customers. Primarily a phenomenon in the top 10-12 metro cities, q-commerce players are now expanding to tier-2 markets. Instamart is now available in 54 cities, including Thrissur, Mangaluru and Kanpur. Blinkit, too, has expanded beyond metros to cities like Kochi, Bathinda, Haridwar and Vijayawada. While convenience has driven growth so far, the next phase will be cost-driven, predicts Rajeev Singh of Deloitte. "As players burn cash to capture market share, we could also see mergers and acquisitions. Larger players testing the waters may choose to acquire existing companies rather than build from scratch," he says.

As the battle around her rages on, it will ultimately be the consumer who will sit pretty. To woo her, q-commerce players might reduce or waive delivery fees and offer higher discounts. As more incentives become available, she may begin comparing prices across platforms. The allure of convenience could then diminish, and cost become the deciding factor. A win-win situation, any which way you look at it. ■